To	Executive sponsor, NDFI lending (head of the business or its senior credit officer)
From	Vedant Tigade (prototype author; written from public information as a mock proposal)
Date	14 October 2026
Subject	Approve a 90-day shadow pilot of Borrower Truth on one NDFI sub-portfolio

Catch borrower fraud in loans to non-bank lenders months before a quarterly audit: a second pair of eyes next to covenants and field exams.

> **Decision requested:** a read-only pilot on 20–40 auto-finance warehouse borrowers. About 19 FTE-months (~$0.5–1.0M planning range). No automated actions, no customer-facing change. Go / no-go returns to committee in 90 days.

WHY NOW

- Banks have lent **$1.32T to non-bank lenders, 10% of all bank loans**; banks over $100B hold about 86% (FDIC, Feb 2026). In the worked example it is Wells Fargo's largest commercial category: **$208.8B, 20% of its loans** (10-Q, June 2026), and Q1 2026 charge-offs rose "driven by a single fraud-related loss" (10-Q).
- The 2025–26 frauds in this market (Tricolor, First Brands; SEC and DOJ allegations) used several tricks at once, hidden in different places; field exams and collateral checks each look in one place. After Q1, management said teams reviewed clients' procedures and collateral (earnings call); this makes that review monthly.
- Model-risk guidance changed on 17 Apr 2026: **SR 26-2** / OCC 2026-13 replaced SR 11-7 and OCC 2011-12. A new tool should bring a model-risk file written against it. Here, written rules decide; the AI agent only drafts.

WHAT IT IS

Seven checks, one per documented trick, joined into one case per borrower: what's wrong, the evidence chain, a suggested fix and a drafted letter. **An officer approves every step.** Verdicts come from written rules, not a model; every decision can be replayed. It uses Setpoint PledgeCheck results (simulated here). Its models are open-weight and run inside the bank.

EVIDENCE SO FAR (SYNTHETIC: IT PROVES COVERAGE, NOT A REAL-WORLD RATE)

TEST	RESULT
Fresh synthetic books, scored once (latest of 13 sets: 600 borrowers, 250 planted frauds)	**248 of 250 caught** vs 37% for a quarterly sample audit; **0 of 350** honest flagged; a median 90 days earlier. All 13 sets: 2 of 4,771 honest flagged; the two failed sets are published
Blind red team, three rounds	Round 3, an attacker controlling the borrower's records: **0 of 60 caught**, 28 to review. Lesson: anchor on the bank's cash
Real public data: 2.23M SEC loan records, 28 pools, 22 lenders	The six loan-tape checks tested on every pool: **0 of 28 honest pools flagged**. The other checks can't be tested on public data yet
Workload	About 29 of every 100 honest borrowers sent to "worth a look"; the top tenth of the queue was 60 of 60 real frauds

MONEY

Break-even, not a forecast: moving the response to **one ~$8M exposure** three months earlier pays for the pilot at 3% monthly erosion; the bank's own loss data replaces these inputs.

RISK AND CONTROLS

- **Model risk:** likely in scope as a model under SR 26-2. Register and tier it, and validate it independently before production. The AI agent is outside that guidance's scope and never decides.
- **BSA/AML:** likely-fraud cases route to the financial-crimes unit for a SAR decision. Compliance and Legal approve the letter templates, so no letter tips off a borrower.
- **InfoSec and third parties:** runs inside the bank, with bank SSO and encryption at rest (to build). Lien and court data vendors go through third-party review.

NEXT STEPS IF APPROVED

Weeks 0–4: data access, model-risk tiering, InfoSec review. Weeks 5–16: shadow pilot, weekly officer review, measuring the real rate. Week 17: go / no-go against criteria set up front.

For any bank lending to non-bank lenders; Wells Fargo is the worked example, from public sources, not affiliated. Synthetic data. Fraud facts are SEC and DOJ allegations. Details: proposal pack; demo at borrower-truth.vercel.app.